Globalisation and Regional Development (GY409) – Take Home Assessment

Candidate Number: 22813

Section 1 - Question 1:

Word Count: 1000

The rise of right-wing populism in high-income countries is one of the most pressing issues of our time. Donald Trump, the Brexit advocates, and right-wing parties like the AfD in Germany have all build their campaigns on anti-immigration and anti-globalisation rhetoric. What explains their success? Empirical evidence suggests that support for populist parties is particularly strong in regions that have suffered from declines in manufacturing employment and falling wages – a phenomenon that has been described as the *revenge of the places that don't matter* (Rodríguez-Pose, 2018). There is, for example, Saxony - a lagging region of eastern Germany where the AfD obtained 27% of the votes in 2017. There also is West Virginia, a former industrial state in decline, where 68% of people voted for Donald Trump in 2020. These findings raise important questions about the reasons for the decline in manufacturing wages and employment. Are the anti-globalisation campaigners right to blame trade liberalisation? Or is technological change the more important force to consider?

For most of the 20th century, a strong manufacturing sector represented the backbone of economic success in Western Europe and Northern America. Especially during the boom years after World War II, the manufacturing sector spurred growth and created equitable wealth by employing large numbers of low-skilled workers productively. At its peak, during the 1960s, manufacturing employed around 40% of the total workforce in high-income countries. But the heyday of western manufacturing ended sometime during the 1970s, as two stylised facts suggest:

1. Employment levels in manufacturing fell substantially in all high-income economies: For example, in the UK, the share of manufacturing employment fell from 22% in 1981 to 8% in 2019.
2. Real wages of low-skilled manufacturing workers in high-income economies have declined between 1980 and 2019.

What explains this development? Trade liberalisation has become a major culprit in the political debate. At first glance, the underlying reasoning is compelling. The 1980s and 1990s saw significant reductions of trade barriers following the foundation of the World Trade Organization and the entrance of China and India into the world economy. As a result, the global labour market grew by millions of low-skilled workers offering their labour at very low wages. According to the classical Hecksher-Ohlin trade model, downward pressure on low-skilled manufacturing wages in high income economies is precisely what we should expect following these events (Bourguignon, 2015). For high-income economies, the model predicts that trade with low-income economies increases the returns to capital and high-skilled labour while it reduces the returns to low-skilled labour (Harrison et al., 2010). And indeed, China's emergence to becoming a manufacturing powerhouse was promoted by offshoring of light manufacturing industries requiring low skills such as electronics assembly, textiles, and other consumer goods. While this generated substantial aggregate efficiency gains and raised consumer welfare in high-income economies, manufacturing industries at the lower end of the skills spectrum and the regions in which they were located were hit hard by greater exposure to imports. The effects were aggravated by the fact that labour market adjustments in terms of geographical and sectoral mobility were much more sluggish than economists had anticipated (Autor et al., 2016).

Does that mean anti-globalisation campaigners are right in putting all the blame for the decline of manufacturing employment on trade liberalisation? The short answer is no. There are empirical and conceptual issues with this narrative and I will argue that technological change plays a more important role. To begin with, this view neglects the fact that some manufacturing industries have benefitted substantially from the possibility to source inputs at low-cost from abroad bringing about positive aggregate employment effects. Think, for example, of the automotive industry in Germany. Secondly, manufacturing employment peaked during the 1960s and was therefore falling already long before China's accession to the WTO in 2001 impacted trade volumes substantially. Most importantly however and often overlooked, is the fact that total manufacturing output in high-income economies has constantly grown, even in the United Kingdom, a country notorious for its declining productive sector. This means that a large part of the reduction in manufacturing employment is explained by increasing productivity because of technological innovation rather than import competition. In fact, technological innovation has been a double whammy for low-skilled workers in the Saxonies' and the West Virginia's of this world. It did not only reduce the number of manufacturing jobs, but it did so especially at the expense of workers without college degrees. This phenomenon is called *skill-biased technological change* and has led to increasing wage returns to human capital and job polarisation as a result (Katz, 2008). For the manufacturing sector, this means increasing demand for engineers and reduced demand and falling wages for workers undertaking routine tasks on the assembly line. Importantly, this is not to say that trade liberalisation did not play a role in this process. More competition on international markets increased pressure among manufacturing firms to innovate and thereby accelerated technological change (Bourguignon, 2015). But the point I am making is that technological change is the most important reason behind declining manufacturing employment and falling wages for low-skilled workers.

In conclusion, import competition did indeed have localised effects on certain sectors and regions. The grievances are real, and the socioeconomic consequences were particularly severe in countries with poor social safety nets like the United States. This might explain why trade with China played such a prominent role in Donald Trump's campaign while it was absent in that of the AfD in Germany. Nevertheless, I have shown that manufacturing employment was on the decline a long time before trade with low-income countries intensified. Most importantly, the fact that total manufacturing output has been increasing across all high-income economies strongly suggests that technological innovation is the main reason behind the reduction in manufacturing employment. Therefore, to really help the *places that don't matter*, the policy focus should be on promoting more inclusive technological innovation, improving education systems and strengthening social safety nets. Trumpist' protectionism, in contrast, was a knee-jerk reaction to a problem poorly understood.

Section 2 – Question 5

Word Count: 999

"The Death of Distance", "The World is Flat" or "The Borderless World" - commentators in the financial and economic press have found metaphors aplenty to describe the levelling effects of globalisation. And who could deny that the advances in transport and communication technology have brought humanity closer together? Goods and services are traded across the globe, firms have internationalised, and the spread of the internet allows people to communicate in real time despite being thousands of miles away from each other. Beyond that, numerous trade agreements and supranational organisations have led to an unprecedented harmonisation of policies and regulations across countries. As a result, the sovereignty of the Westphalian nation-state has come under fire as the world ushered an era of "hyperglobalisation". Hence, it seems straightforward to argue that globalisation has brought about the "death of distance". But

I will argue that this judgment was premature and lacks rigour. On closer inspection, distance still matters a great deal and globalisation has not brought about its death.

To begin with, let us look at the two most important ways in which globalisation might have reduced the effect of distance. First, the past 100 years have seen massive improvements in technology which have reduced costs for transport and communication substantially and integrated hitherto unconnected parts of the world into the global economy. The cost of shipping goods around the globe has reduced by more than 70% since 1920 (Combes et al., 2008). The number of airline passengers has increased from 310 million in 1970 to 4.4 billion in 2019. Finally, the global share of individuals using the internet has skyrocketed from 6% in 2000 to 49% in 2017. These trends are not exclusive to high-income countries. In fact, internet usage in Kenya is now 70 times higher than it was in the early 2000s (World Bank, 2021). Second, trade and financial liberalisation as well as the foundation of supranational organisations have pushed back nation-state sovereignty and brought about institutional levelling. The foundation of the WTO in 1995 extended trade liberalisation far beyond tariff reductions and led to a harmonisation of regulations in areas such as intellectual property rights or health and safety standards (Rodrik, 2018). Financial deregulation and the abolition of capital controls globalised financial markets and meant that investors and stockbrokers were now longer constrained to their domestic economies. These harmonisation efforts found their apex in the EU, where the completion of the "Single Market" project effectuated the "four freedoms of movement" – goods, services, people, and money (Chang, 2014). Indeed, it seems as if both forces worked their magic to reduce the effect of distance. There has been a substantial increase in trade volumes and FDI flows since the 1990s. Moreover, increased mobility and communication have contributed to the dispersion of ideas, knowledge, and technology. So, has globalisation really brought about the death of distance? Not so fast. If that was the case, why don't we see rapid convergence in technological innovation and living standards across the world? Why do the

chances of benefitting from globalisation still vary so widely for different economies and different individuals (Rodríguez-Pose, 2008)? Because distance still matters in the 21st century – let me explain why.

It is a well-established fact in the economics literature that trade, FDI and capital flows decrease with distance. It has been estimated that a 10 percent increase in distance reduces trade volumes by 10 percent. Perhaps surprisingly, a study by Disdier and Head finds that the negative effect of distance on trade has increased since the 1960s (Disdier, 2008). This finding demonstrates two things. First, despite the reduction of transport and communication costs and substantial efforts to harmonise regulations, transaction costs resulting from linguistic and cultural differences remain stubbornly high. Second, there has been a profound economic shift towards more innovative and creative industries in which business networks and relationships arising from proximity matter a great deal. Except for a few long-established manufacturing sectors such as textiles, furniture and simple consumer goods, industries are not nearly as "footloose" as has been suggested. As Ed Leamer puts it, distance still matters because it "creates cost-advantaged relationships between sellers and buyers located close to one another" (Leamer, 2007). The draught horses of the global economy cluster in a few regions with favourable conditions and draw on the benefits of agglomeration economies, thereby increasing the effects of distance. Innovation in the pharmaceutical sector and the software industry, two sectors that have benefitted massively from globalisation, requires not only highly skilled workers and good institutions but trust and cooperation - things that are still much harder to build across the globe than with co-workers next door. As a result, patenting is more concentrated than ever before. And while numerous Asian countries have experienced substantial increases in living standards, least developed countries, particularly in sub-Saharan Africa were virtually left out. At the same time, interpersonal and regional inequalities within countries have increased across the globe (Bourguignon, 2015). On the political front, the "death of distance" narrative often went hand

in hand with a swansong of the nation-state. This too has been belied by the facts. According to the World Values Survey, people across the world still feel much more attached to their respective nations than to the global community. This holds true even for the EU, despite all the efforts put into forging a European identity. Finally, the place of birth remains the most important determinant for predicting a person's income and explains 60% of the total variation in global income levels (Clemens, 2008).

In conclusion, I have demonstrated that globalisation has not brought about the proclaimed "death of distance". Undoubtedly, globalisation has connected people across the globe. It also contributed to pull millions of people out of poverty. And yes, it has reduced the distance between a few select metropolitan areas across the globe - connecting Mumbai and Beijing with London and San Francisco. But for people in rural India, Western China and the American Midwest, these places seem more distant than ever before.